11 Nov 2026 07:32:12 ET | 11 pages

Auras Technology (3324.TWO)

3Q26 Missed on Margins; ASIC Ramp to Drive 4Q26E Recovery

CITI'S TAKE

Auras reported 3Q26 net profit of NT$1,080mn (+11% QOQ/+11% YoY), missing Citi/cons forecasts by 13%/22%, primarily on weaker-than-expected margins. 3Q26 GPM came in at 25.6% (-2.8ppts QoQ/-4.1ppts YoY), below Citi/cons forecasts of 28.2%/29.7%. Lower scale of consumer and air cooling business led to unfavorable leverage, while trial production of new liquid cooling products added further cost pressure. Mgmt. has initiated plans to convert part of the idle capacity to liquid cooling. We maintain our view of +20% QoQ revenue growth in 4Q26E, driven by revenue deferred from 3Q26 and mass production of the ASIC projects liquid cooling version, with GPM recovering on a better product mix. At its annual investor conference on Nov 18, we will focus on the ASIC ramp, Vera Rubin and next generation development progress, 2027 growth and margin outlook, and CDU/DIMM cold plate traction. Reiterate Buy.

Buy	
Price (11 Nov 26 15:00)	NT$1,300.00
Target price	NT$2,000.00
Expected share price return	53.8%
Expected dividend yield	1.9%
Expected total return	55.7%
Market Cap	NT$121,000M US$3,672M

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Figure 1. Auras - 3Q26 earnings review

(NT$mn)	3Q26 Citi	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	9,787	8,700	12%	5,958	64%	9,791	0%	10,006	-2%
Gross profit	2,510	2,472	2%	1,773	42%	2,761	-9%	2,967	-15%
Gross margin	*25.6%*	*28.4%*	*-2.8 ppt*	*29.8%*	*-4.1 ppt*	*28.2%*	*-2.5 ppt*	*29.7%*	*-4.0 ppt*
Op. profit	1,362	1,390	-2%	992	37%	1,610	-15%	1,805	-25%
OP margin	*13.9%*	*16.0%*	*-2.1 ppt*	*16.7%*	*-2.7 ppt*	*16.4%*	*-2.5 ppt*	*18.0%*	*-4.1 ppt*
Net income	1,080	969	11%	974	11%	1,240	-13%	1,388	-22%
EPS (NT$)	11.61	10.41	11%	10.66	9%	13.32	-13%	14.86	-22%

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Source: Company Reports, Citi Research Estimates, Bloomberg

Auras Technology

Valuation

We value Auras using a PE-based approach, reflecting its accelerating earnings trajectory and rising share in liquid cooling market of AI servers. Our TP of NT$2,000 is based on 20x 2027E EPS, which we believe is justified given the company's expanding server revenue base, deeper engagement with CSP customers, and broader product portfolio across cold plates, CDMs, and CDUs.

Risks

This stock is High Risk based upon our quantitative model, but assigning a High Risk rating is not supported in our view by other qualitative factors such as rapid RVL progress and Thailand expansion, and so a High Risk rating has not been applied. Key downside risks to our investment thesis and target price include: 1) slower adoption of liquid cooling; 2) heightened price competition; 3) lower-than-expected share in liquid cooling components; and 4) emerging alternative cooling technologies.

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Appendix A-1

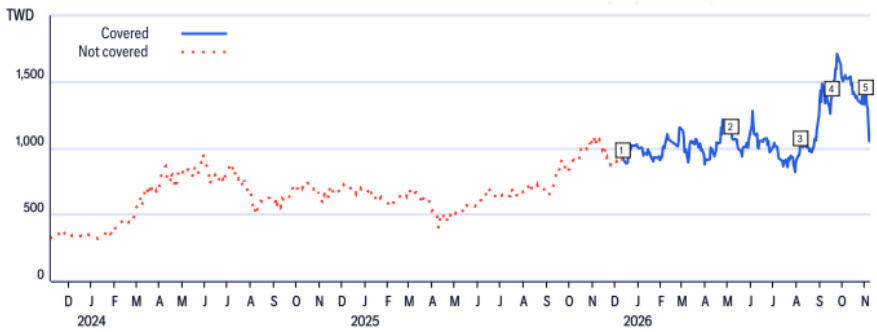
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Auras Technology (3324.TWO)
Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



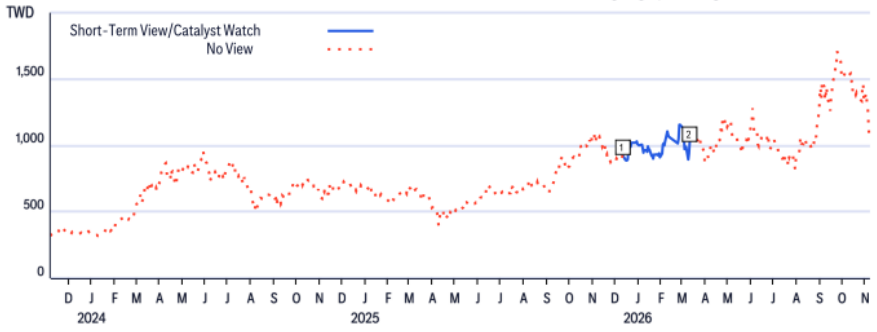
	Date	Rating	Target Price	Closing Price
1	11-Dec-25 07:34:19	*1	*1,525.00	925.00
2	06-May-26 11:45:54	1	*1,480.00	1,105.00
3	07-Aug-26 12:26:55	1	*1,550.00	1,015.00
4	17-Sep-26 11:26:13	1	*1,800.00	1,385.00
5	02-Nov-26 10:54:25	1	*2,000.00	1,395.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Auras Technology (3324.TWO)
Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Dec-25 02:34:19	Add STV	Upside	90 Days	925.00
2	11-Mar-26 22:16:27	Remove STV	Upside	90 Days	1,030.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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